

CONTOSO HEALTH PLAN — Summary of Benefits & Member Policy (Plan Year 2026)

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1. Covered Services

The Plan covers Medically Necessary services provided by In-Network or Out-of-Network providers, subject to the terms below.

- **1.1 Diagnostic Imaging** — X-ray, ultrasound, CT, and MRI scans are covered when ordered by a treating physician. **MRI and CT require prior authorization (see Section 4).**
- **1.2 Outpatient Surgery** — Covered when Medically Necessary and performed at an approved facility.
- **1.3 Physical Therapy (PT)** — Up to **40 visits per plan year** when prescribed by a physician. Visits beyond 40 require additional clinical review.
- **1.4 Emergency Services** — Covered at the In-Network benefit level **regardless of whether the facility is In-Network**, per the prudent layperson standard. Prior authorization is **never** required for emergency services.
- **1.5 Mental Health & Substance Use** — Covered at parity with medical/surgical benefits. Outpatient therapy does not require prior authorization.
- **1.6 Prescription Drugs** — Covered per the Plan formulary. Non-formulary drugs may be covered with an approved formulary exception.

2. Definition of Medical Necessity

A service is "Medically Necessary" if it is: (a) consistent with the symptoms or diagnosis; (b) provided in accordance with generally accepted standards of medical practice; (c) not primarily for the convenience of the patient or provider; and (d) the most appropriate level of service that can be safely provided. A denial for "not medically necessary" must reference the specific clinical criteria the claim failed.

3. Exclusions (Services NOT Covered)

- Purely cosmetic procedures (unless reconstructive after injury or covered surgery).
- Experimental or Investigational treatments **not** supported by peer-reviewed evidence. A treatment is NOT considered experimental if it is FDA-approved for the condition being treated.
- Routine care obtained outside the United States.

4. Prior Authorization

- Prior authorization is required only for the services explicitly listed in Section 1 (MRI, CT, PT beyond 40 visits, inpatient admissions).

- **If a service did not require prior authorization under Section 1, a denial citing "no prior authorization" is invalid.**
- If prior authorization was required but not obtained due to a medical emergency, the Plan will conduct a retrospective review rather than auto-deny.

5. Timely Filing

Claims must be submitted within **180 days** of the date of service. Claims denied solely for late filing may be reconsidered if the member shows the delay was caused by the provider or by circumstances beyond the member's control.

6. Member Appeal Rights

- **6.1** Members have the right to appeal any adverse benefit determination within **180 days** of receiving the denial.
- **6.2** A first-level internal appeal must be decided within **30 days** for pre-service claims and **60 days** for post-service claims.
- **6.3** Members may request an **External Review** by an Independent Review Organization (IRO) after exhausting internal appeals, or immediately for urgent care.
- **6.4** The member is entitled to receive, free of charge, the specific clinical rationale and any guideline used in the denial.
- **6.5** A denial that does not state a specific reason and policy provision is procedurally defective and may be overturned on that basis alone.

7. Coordination & Cost Sharing

- In-Network deductible: \$1,500 individual. Out-of-Network deductible: \$3,000 individual.
- After deductible, the Plan pays 80% In-Network / 60% Out-of-Network of allowed amounts.
- Emergency services are paid at the In-Network rate (Section 1.4).